aggressive strategy after the market has surged. In each case, that horse may well have already left the barn.

Living through the Great Depression, Benjamin Graham thought deeply about how to invest in the context of unpredictable and dramatic change. Mired in a downturn that seemed like it might go on forever, Graham nonetheless saw that it was temporary even if he couldn't know how long it would last, what would turn things around, or what might lie ahead. In the 1930s, Graham experienced a period of dramatic economic volatility and deep uncertainty, where the most impactful changes were driven by the vicissitudes of the business cycle. Companies had the capacity to produce goods, but customers had no money. The economy was not actively managed by central bankers the way it is today, and it was thus subject to higher volatility. There was no Fed "put" to support the stock market through periods of economic tumult.

Nevertheless, in an extremely challenging market, Graham and Dodd remained faithful to their principles. They knew that the economy and markets would sometimes go through painful cycles, and they also knew these periods must be endured because neither their beginning nor end could be reliably predicted. They expressed confidence, in the darkest days, that the economy and stock market would eventually rebound. As they noted: "While we were writing, we had to combat a widespread conviction that financial debacle was to be the permanent order." Even if you're fully expecting mean reversion for the economy as a whole, it's hard to maintain that view in the face of painful loss or persistent underperformance.

Over time, just as investors must deal with down cycles in which business results deteriorate and undervalued stocks become more deeply undervalued, they must also endure and remain disciplined during protracted up cycles in which bargains are scarce and investment capital seems limitless. Between 2010 and 2021, the financial markets performed exceedingly well by historic standards,